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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWITZERLAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JANUARY 1969

BASIC STATISTICS OF SWITZERLAND

THE COUNTRY

Area (thousand sq. km.)	41.3
Cultivated agricultural land (thousand sq. km.)	2.7
Grassland and pastures (thousand sq. km. in 1952)	19.0
Forest (thousand sq. km. in 1952)	9.8

Major cities, end-1968 estimates (thousand inhabitants)	
Zurich	436
Basle	216
Geneva	173

THE PEOPLE

Population, end-1967 estimates (thousand)	6 071.0
Number of persons per sq. km. in 1967	147.0
Net annual rate of population increase (per thousand inhabitants 1963-1967)	9.3
Labour force, 1960 census (in per cent of total population)	46.3
Percentage distribution:	
Agriculture and forestry	11.2
Industry and construction	49.3
Others	39.5

Number of foreign workers subject to control (thousand)	
February 1968	529.5
August 1968	648.1
Annual average increase in the number of foreign workers subject to control, August census (thousand)	
1955-1964	50.0
1964-1968	—18.2

PRODUCTION

Gross National Product in 1967 (billion Swiss francs)	68.9
Growth of real GNP, 1963-1967 average (annual rate, per cent)	3.8
Gross fixed investment in 1967 (in per cent of GNP)	25.4
Growth of real fixed investment, 1963-1967 average (annual rate, per cent)	2.8

Expenditures on construction, including public works in 1967 (billion Swiss francs)	11.4
Gross value of agricultural production in 1967 (billion Swiss francs)	4.2

THE GOVERNMENT

Public consumption in 1967 (in per cent of GNP)	12.0
Public works in 1967 (in per cent of GNP	5.6
Current public revenue in 1967 (in per cent of GNP)	26.1
Public debt in per cent of current receipts (1966)	121.0

Composition of Parliament (per cent)

	National Council	State Council
Conservative Christian Socialists	22.5	41.0
Radicals Democrats	24.5	32.0
Socialists	25.0	4.0
Agrarians	10.5	7.0
Others	17.5	16.0

Last elections: 1967
Next elections: 1971

LIVING STANDARDS

Gross National Product per capita in 1967 (US dollars)	2 623
Growth of real GNP per capita (annual rates, 1963-1967 average)	2.4
Gross hourly earnings of skilled and semi-skilled workers (US dollars, 1967)	1.42
Growth of real hourly earnings of skilled and semi-skilled workers (annual rates, 1963-1967 average) per cent	3.9

Number of passenger cars in 1967 (per 1 000 inhabitants)	179
Number of telephones in 1967 (per 1 000 inhabitants)	417
Number of radio sets in 1967 (per 1 000 inhabitants)	284

FOREIGN TRADE AND PAYMENTS

(1967, million US dollars)

Commodity exports f.o.b.	3 702
Commodity imports f.o.b.	3 910
Services, net	699
Transfers, net	263
Current balance	240
Commercial bank's short-term capital	61
Balance on official settlements	174
Exports of goods and services including factor incomes (per cent of GNP)	33.9
Imports of goods and services including factor incomes (per cent of GNP)	30.4

Percentage distribution:

	Exports	Imports
to/from OECD countries	75.5	87.7
Other developed countries	8.2	3.5
Developing countries	16.3	8.8
Food, drinks and tobacco (SITC groups 0 and 1)	5.3	15.4
Materials (2, 3, 4)	2.4	13.4
Semi-finished goods and chemicals (5, 6)	37.0	33.5
Finished manufactured goods (7, 8, 9)	55.3	37.7

Currency unit: Swiss francs; 1 Swiss franc = 0.231 US dollars

OECD ECONOMIC SURVEYS

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

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INTRODUCTION

As noted in last year's survey, the slowing down of growth in 1966 and 1967 was not accompanied by any significant dampening of price increases. But in 1968 the growth and price performances of the Swiss economy were distinctly better. The earlier slowing down of economic activity has been reversed since the autumn of 1967 under the impact of a strong increase in exports. And substantial progress has been made towards stabilizing prices and bringing wage increases into better line with productivity gains.

In coming months the task of maintaining a satisfactory rate of growth with the same high degree of price and wage cost stability as achieved during 1968 may become more difficult. The restoration of internal financial stability has been assisted by special factors such as the decline of food prices. Moreover, until the middle of 1968 domestic demand has remained rather flat with net exports constituting practically the only source of buoyancy and boosting the current balance of payments surplus to an exceptionally high level. The likely acceleration of wage increases coupled with a shift of the expansionary forces from foreign to home demand may encourage price increases. On the other hand, a vigorous revival of domestic demand will be needed to counter-balance the prospective subsiding of the net stimulus from abroad.

The present survey outlines, in Part I, recent trends of demand and output. Part II describes the restoration of internal financial equilibrium and notes the simultaneous large increase of the external surplus. The following section examines recent economic policies and the plans to improve the instruments of demand management in the fields of budget and credit policy. Part IV discusses prospects and policy issues.

I RECENT TRENDS OF DEMAND AND OUTPUT

The decline of the business cycle has been reversed since the autumn of 1967. In real terms, the growth of GNP probably increased from 1.9 per cent in 1967 to about 3.5 per cent in 1968. With buoyant imports and

the growth of exports likely to slow down the external surplus may not rise further in 1969, but according to semi-official estimates the slackening expansionary impulse from the foreign balance will be offset by a steepening trend of domestic demand.

Demand

The accelerated growth of output up to the third quarter of 1968 (last period covered by national accounts and production statistics) took place in spite of a weak trend of nominal internal demand and a rise in the propensity to import. The expansion of domestic expenditure (at current prices) dropped from an annual rate of about 6 per cent in 1967 to some 4 per cent in the first nine months of 1968[1], while the growth of imports accelerated from about 6 per cent to 8.5 per cent. The effect on output of the slowing down of domestic demand was cushioned by price movements and the shift of demand towards imports was more than offset by a sharp upturn of exports. Thus, the progressive decline in the rate of growth which has prevailed since 1964 came to a halt in 1968, when the improvement of the external balance at constant prices probably amounted to more than 1 per cent of GNP. At the same time, the rise in the GNP price deflator was probably reduced from 4.7 per cent in 1967 to about 2.5 per cent.

Table 1 **Gross National Product and Expenditure at Current prices**
Percentage change from previous year

	1964	1965	1966	1967	1968[1]
Private consumption	8.8	7.5	7.3	7.3	4.6
Public consumption[2]	10.1	6.8	10.6	9.5	7.1
Gross asset formation	13.7	—0.8	2.8	2.2	2.5
Fixed assets	13.8	1.3	2.9	2.4	
Stocks (contribution to growth of GNP)	0.2	—0.6	—	—	
Total domestic demand	10.4	4.9	6.4	6.1	4.4
Exports	10.5	14.0	10.5	7.3	12.8
Total demand	10.5	6.8	7.2	6.3	6.5
Imports	10.8	4.0	6.4	5.7	8.8
GNP	10.3	8.0	7.7	6.7	5.8
– at 1958 prices	5.1	4.3	2.9	1.9	
Contributions to growth of GNP					
Domestic demand	10.5	5.0	6.3	6.0	4.2
Foreign balance	—0.3	3.0	1.4	0.7	1.6

1 January-September 1968 over April-December 1967 at seasonally adjusted annual rates.
2 Including private insurance.
Source : La Vie économique.

1 The rates of growth relating to the first nine months of 1968 indicate changes from the preceding nine months' period (at annual rates)—if not otherwise stated—and have been calculated on the basis of quarterly national expenditure data adjusted for seasonal variations by the Secretariat.

The slowing down of the increase in prices does not seem to have continued in more recent months (see Table 6) and the external surplus on goods and services (seasonally adjusted) has probably remained significantly below the record level attained in the second quarter of 1968. The downward tendency of the traditional trade deficit on a c.i.f./f.o.b. customs basis has been reversed since the middle of 1968 and earnings from tourism have not been reported particularly buoyant. With both price trends and world trade developments less favourable than during the greater part of 1968 the faster rate of growth of real GNP can only be maintained if domestic demand shows a continuous vigorous recovery.

Until the middle of 1968, the expansion of all major types of domestic expenditure, in value and probably also in volume, weakened. The nominal growth of private consumption, which had been remarkably steady during the 1965-1967 period, slowed down from 7.3 per cent in 1967 to a seasonally adjusted annual rate of 4.7 per cent in the first six months of 1968, with no increase between the first and second quarters. The rate of growth of public consumption, which had been very high in 1966 and 1967 (10.6 per cent and 9.5 per cent), fell to 5.9 per cent, while fixed asset formation only rose by 0.9 per cent, compared with 2.4 per cent and 2.9 per cent respectively in the preceding two years. Stock building receded further.

The hesitant development of private consumption can largely be attributed to the slower advance of wages (see Table 7) but was also linked with an increase in the tax burden. There are, as yet, no clear indicators of a revival of consumption. The index of retail sales, seasonally adjusted, behaved rather erratically during the first ten months of 1968 with the underlying trend remaining however flat, in spite of a steep rise in car sales. But the coming months may well see a recovery if the recent apparent tendency towards an acceleration of wages and salaries should be confirmed.

The earlier semi-official expectations of an acceleration of investment activity did not materialise in the first half of 1968, when the volume of fixed asset formation remained slightly below the peak level attained in 1964. The year-to-year increase of production of machinery declined from 5 per cent in 1967 to some 3 per cent in the first half of 1968 and domestic output of metal and metal products contracted. The sharp up-turn of imports of investment goods in the first half of 1968 was mainly accounted for by vehicles and aircraft imports, with the trade surplus on machinery and equipment continuing to increase owing to a simultaneous steep rise of exports. Building and construction activity seems also to have remained depressed during the first half of the year despite a higher rate of dwellings completed. The number of housebuilding permits issued in 1967 in communes of more than 2 000 inhabitants was about 11 per cent below the previous year's level and the volume of industrial building projects inspected under the Labour Law

Table 2 **Indicators of Investment**
Percentage change from previous year

	1964	1965	1966	1967	1968
Total gross fixed asset formation:					
Current prices	13.8	1.3	2.9	2.4	2.7[2]
1958 prices	8.9	—1.4	—0.4	0.4	
Machinery and equipment:					
Current prices	6.8	4.0	6.3	5.9	
1958 prices	3.6	1.3	1.2	2.2	
Imports of investment goods	8.5	—3.2	10.2	0.8	16.8[2]
Output of machinery	4.8	3.1	0.7	5.1	5.0[2]
Output of metal and metel goods	2.5	—3.1	—0.6	1.3	2.5[2]
Building and construction:					
1958 prices	11.9	—2.9	—1.3	—0.6	
Current prices	17.4	0.0	1.3	0.6	
Public		3.5	9.8	3.7	4.1[3]
Residential		1.5	1.3	—1.7	1.1[3]
Other		—7.6	—8.4	—0.6	—1.8[3]
Dwellings completed[4]		7.8	—5.0	—5.9	6.3[1]
Dwellings under construction in June[4]		—9.8	—9.6	—2.7	—4.8
Dwelling permits issued[4]		—21.4	3.4	—10.9	15.6[1]
Volume of industrial projects inspected under Labour Law	—10.5	—25.3	1.3	—2.2	7.2[2]

1 First half year.
2 January-September.
3 On project basis reported in January.
4 Communes of more than 2,000 inhabitants.
Source : La Vie économique.

in 1967 experienced a decline of more than 2 per cent. Dwellings under construction at the beginning of 1968 were 2.7 per cent lower than a year earlier.

Since the spring of 1968 the behaviour of a number of leading indicators has supported the opinion that a revival of investment activity might not be much longer delayed. Indeed, according to most recent GNP and expenditure estimates at current prices, relating to the third quarter of 1968, total gross asset formation exceeded the level of a year earlier by 6 per cent implying an even stronger increase from the depressed second quarter level (seasonally adjusted). The number of dwelling permits issued during the April-September period of 1968, and mortgage credits granted, went up sharply and the significantly increased volume of industrial building projects inspected under the Labour Law during the same period points to a strengthening of investment propensities. The increase of imports of investment goods accelerated further in July-October and exceeded the rise in exports, but it is to be noted that imports were again boosted by vehicle and aircraft purchases. Capacity utilisation ratios are reported to have increased, on average, in recent months, and the shrinkage of order back-logs seems to have been reversed slightly. There has also been an improvement in the

business climate in the course of the year; according to latest industrial enquiries relating to the end of September employment prospects have again been judged more favourable than previously.

Output and employment

The contribution of industrial sectors of the economy to the growth of domestic production is not exactly known[1]. Available employment statistics and partial data on production suggest that the acceleration of output since the autumn of 1967 has been primarily concentrated in export-orientated industrial enterprises, together with banks and insurance companies. The slight shrinkage of the building sector may not have continued but the growth of agricultural production has slowed down. The volume of animal products marketed exceeded the level of a year earlier by only 5 per cent in the first half of 1968 after an average increase of 7 per cent in 1967. The decline of the rate of increase of vegetable production has probably been even more pronounced, notably in the latter half of 1968.

With registered unemployment virtually non-existent, the tendency for total non-agricultural employment to stabilise itself, manifest in 1967, has been confirmed in 1968. The reduction of the industrial labour force, excluding handicrafts, came to a halt in the second quarter of 1968 but the decrease of the building labour force continued (see Table 3). The number of foreign workers subject to control (wage and salary earners excluding those in possession of a permanent residence permit) remained practically stable between August 1967 and August 1968, but the number of foreigners released from control has continued to increase moderately.

After a six months' decline, the trend of industrial output has picked up conspicuously since the fourth quarter of 1967. The seasonally adjusted index in the first half of 1968 exceeded the level of the preceding half year by 2.4 per cent and showed an even stronger increase in the third quarter. The growth performance has remained rather uneven as between main branches of industry. Three out of thirteen branches, representing only 18 per cent of the total index (chemicals, graphic arts industry, stone and earth) accounted for more than 50 per cent of the total increase registered between the first halves of 1967 and 1968. Output of textiles, metals, watches and jewellery was running at or below last year's level, and clothing, paper, and total output of leather, rubber and plastics showed very little increase. According to provisional third quarter estimates there has been

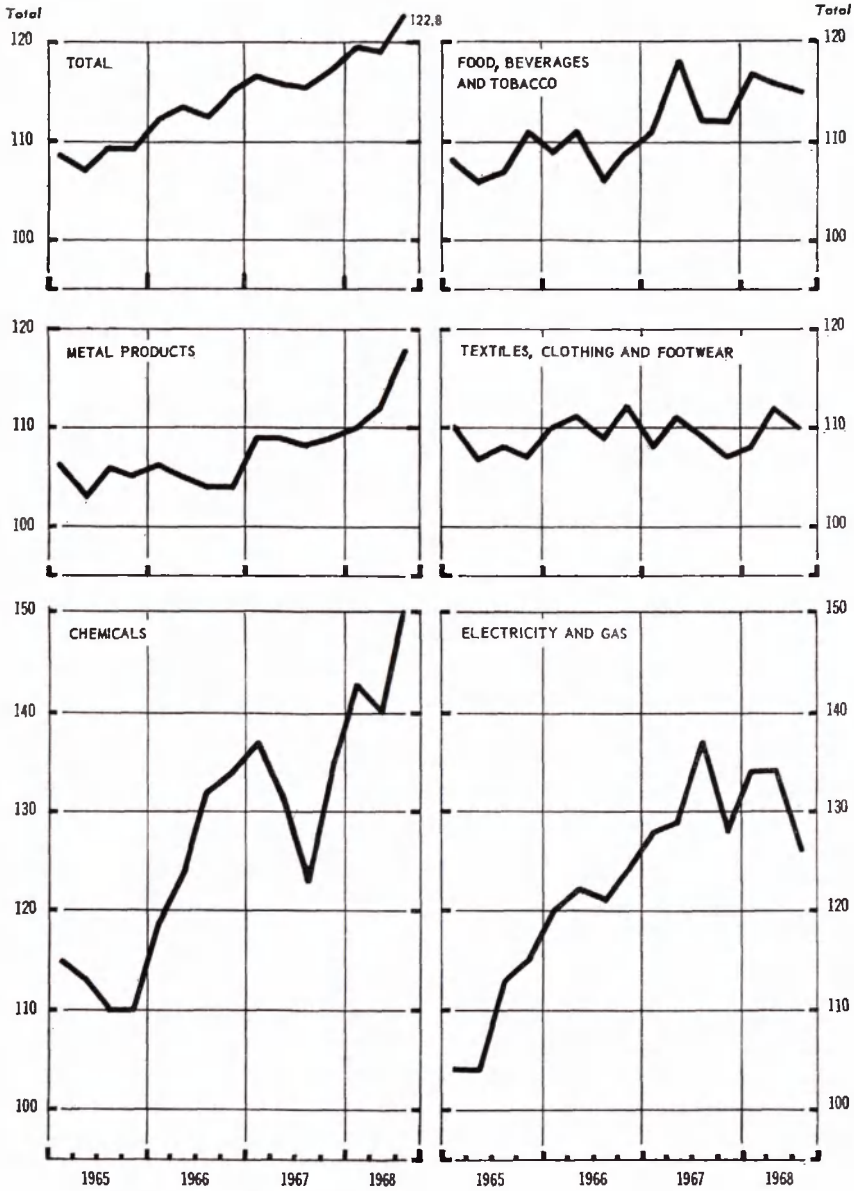
1 Swiss national accounts statistics give no breakdown of the gross national product by industrial origin.

Table 3 **Employment and Labour Market**

	Base or unit	1964	1965	1966	1967					1968		
					Year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
Index of total employment:	end-March	111.1	110.2	109.6	109.5	109.0	111.5	110.6	106.7	108.6	111.5	111.0
Industry	1961 = 100	108.9	107.4	105.9	105.3	105.2	105.6	105.5	104.8	105.1	105.7	105.7
Building	1961 = 100	116.9	115.5	115.0	111.9	113.0	124.0	123.9	86.5	108.4	119.0	120.8
Handicraft	1961 = 100	109.4	107.7	106.9	106.3	106.1	109.1	108.0	102.1	104.9	107.9	114.6
Trade	1961 = 100	117.3	118.6	119.4	120.9	119.3	120.1	120.4	123.7	120.8	121.8	121 7
Banks	1961 = 100	122.6	125.7	129.4	135.0	131.4	134.7	136.2	137.6	138.7	144.0	144.7
Transport and communication	1961 = 100	108.9	109.5	109.7	110.6	109.0	111.1	111.2	110.9	110.1	111.6	112.1
Hotels	1961 = 100	110.9	109.1	109.2	111.3	109.5	118.6	109.1	107.9	106.1	119.4	109.4
Average weekly hours worked:												
Industry	hours	45.4	44.9	44.8	44.7	44.7	44.7	44.7	44.6	44.6	44.6	44.7
Building	hours	47.3	47.1	47.1	46.6	47.0	47.6	47.6	44.2	46.7	47.4	47.4
Labour market:												
Fully unemployed	thousands	0.3	0.3	0.3	0.3	0.4	0.2	0.1	0.3	0.7	0.2	0.1
Vacancies	thousands	6.3	5.3	4.6	4.1	4.4	4.3	4.2	3.6	4.0	4.1	4.0

Source : La Vie économique.

Diagram 1 Trends of industrial production
1963 = 100, seasonnally adjusted



1 Including machinery.
Source: Industrial production, OECD.

Table 4 **Indices of Industrial Production (1958 = 100)**

	1964	1965	1966	1967				1968		
				year	1st qtr.	2nd qtr.	3rd qtr.	1st qtr.	2nd qtr.	3rd qtr.
Food, drink, tobacco	133	138	139	145	131	155	153	138	152	156
Textiles	128	127	123	121	122	127	109	125	125	115
Clothing	160	167	179	178	181	176	171	178	180	165
Wood	153	160	153	148	140	154	140	141	160	133
Paper	146	161	169	173	167	173	171	174	167	169
Graphic	151	157	171	176	161	173	160	180	186	171
Leather, rubber	182	178	183	181	184	182	172	184	183	184
Chemicals	199	202	230	238	257	242	216	269	258	268
Stone, earth	175	175	180	171	122	193	194	136	205	193
Metals	162	157	156	158	158	163	152	153	163	169
Machenirу, apparatus	131	135	136	143	138	142	139	141	148	151
Watches, jewellery	143	157	179	187	168	183	171	162	183	179
Public utilities	124	139	155	167	145	173	200	151	179	183
Total industry	148	153	160	164	158	167	160	162	171	170

Source : La Vie économique.

a strong revival of the production of metals, chemicals and machinery. By contrast, the production of energy, clothing, wood, paper, stone and earth fell short of the corresponding previous year's level.

II INTERNAL AND EXTERNAL EQUILIBRIUM

The overall supply/demand situation improved appreciably in 1968 after a marked deterioration in 1966 and most of 1967. Domestic expenditure (in current value) exceeded the level of the year earlier by probably the lowest rate ever recorded since 1958. But in sharp contrast to previous years the slowing down of the expansion of domestic expenditure was not linked with a weakening trend of output and imports. On the contrary, the growth of output and imports accelerated noticeably and at the same time the rise in prices was importantly reduced. Furthermore, owing to a rapid increase of exports the external surplus was boosted to a new all time high.

The recent combination of accelerating output and more stable prices has been associated with a number of favourable factors. The marked shift from domestic demand to exports stimulated high rather than low productivity sectors and reduced the incentive to raise home market prices. The faster progress of productivity has probably also been assisted by somewhat easier labour market conditions. The contraction of the labour force has come to a halt and labour mobility has been encouraged by the relaxation of foreign labour restrictions.

Prices and wages

In previous years, weakening domestic demand had mainly been reflected in a strengthening of the external position rather than by more stable costs and prices. In 1968, however, it had a clear effect on price and wage movements. Building costs changed very little and the wholesale price index of domestic materials and basic goods was running below the previous year's level in the second and the third quarter of 1968. Between the third quarters of 1967 and 1968 the year-to-year increase of the cost-of-living index fell sharply from as much as 4.6 per cent to 1.4 per cent with an absolute decline of prices of food, durables and heating costs and a virtual stabilisation of other goods. The earlier rapid rise of rents and other services slowed down somewhat. But it is to be noted that two-thirds of the deceleration of the total cost-of-living increase between the fourth quarter of 1967 and the

Table 5 **External and Internal Equilibrium of the Economy**

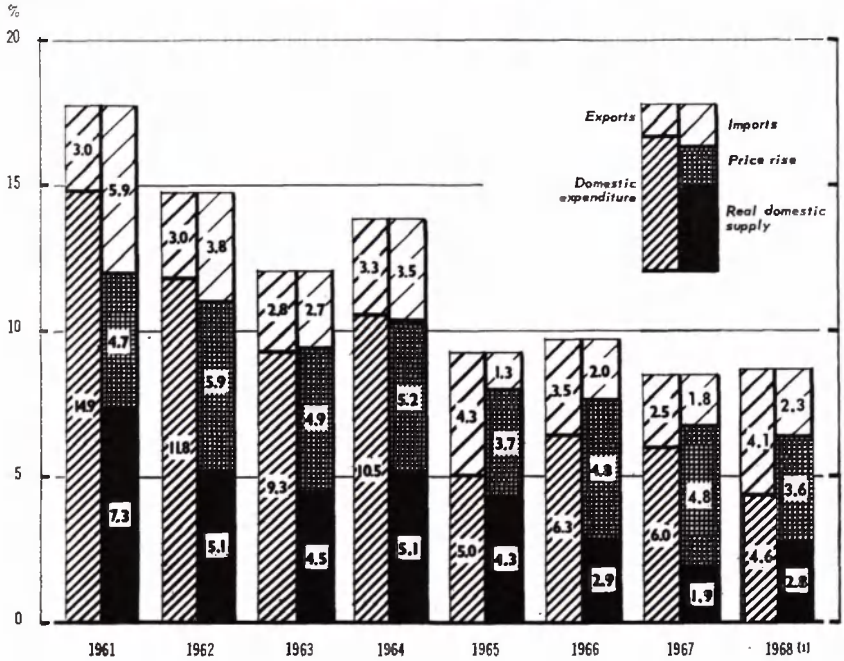
Changes over the previous year, Swiss francs million or percentages

	1960	1961	1962	1963	1964	1965	1966	1967	1968[1]
1 Domestic expenditure	3 500	5 530	4 915	4 290	5 305	2 760	3 785	3 860	3 035
– in per cent of GNP of previous year	10.3	14.9	11.8	9.3	10.5	5.0	6.3	6.0	4.6
2 Exports of goods and services	1 270	1 110	1 225	1 295	1 640	2 410	2 070	1 595	2 760
– in per cent of GNP of previous year	3.8	3.0	3.0	2.8	3.3	4.3	3.5	2.5	4.1
3 Total expenditure (1 + 2)	4 770	6 640	6 140	5 585	6 945	5 170	5 855	5 455	5 795
– in per cent of GNP of previous year	14.1	17.9	14.8	12.1	13.8	9.3	9.8	8.4	8.7
4 Real domestic supply	1 963	2 705	2 116	2 072	2 569	2 388	1 740	1 228	1 870
– in per cent of GNP of previous year	5.8	7.3	5.1	4.5	5.1	4.3	2.9	1.9	2.8
– incremental output ratio (4/3)	0.41	0.41	0.34	0.37	0.37	0.46	0.30	0.23	0.32
5 Excess of total expenditure at current prices over GNP at constant previous year's prices (3-4)	2 807	3 935	4 024	3 513	4 376	2 782	4 115	4 227	3 925
– in per cent of GNP of previous year	8.3	10.6	9.7	7.6	8.7	5.0	6.9	6.5	5.9
Reflected in or met by:									
6 Internally effective demand/supply gap	1 252	1 730	2 444	2 248	2 601	2 057	2 900	3 087	2 415
– in per cent of GNP of previous year	3.7	4.7	5.9	4.9	5.2	3.7	4.8	4.8	3.6
7 Imports of goods and services	1 555	2 205	1 580	1 265	1 775	725	1 215	1 140	1 510
– in per cent of GNP of previous year	4.6	6.0	3.8	2.7	3.5	1.3	2.0	1.8	2.3
N.B.									
External balance, (—) sign = deterioration	(—)285	(—)1 095	(—)355	30	(—)135	1 685	855	455	1 250
– in per cent of GNP of previous year (—) sign — negative impact on GNP	(—)0.8	(—)3.0	(—)0.9	0.1	(—)0.3	3.0	1.4	0.7	1.9

1 January-September, annual rates.

Source : La Vie économique.

Diagram 2 **External and internal equilibrium**
Percentage change per annum
in terms of GNP of previous year



1 January-September.
Source: La Vie économique.

third quarter of 1968 was accounted for by the reversal of the trend of food prices and heating and lighting costs and that the slowing down of price increases has not continued in more recent months.

The stabilisation of prices has been assisted by a marked weakening of wage cost pressure. The wage rate index for industrial and building workers exceeded the level of a year earlier by 4.2 per cent only in the first nine months of 1968 after average increases of 5.4 and 5.9 per cent respectively in the preceding two years. Assuming an unchanged wage drift, the advance of actual hourly earnings over the previous year would have decelerated to 5.5 per cent, following a slow-down from 7.7 per cent in 1966 to 6.4 per cent in 1967. The 1968 wage round may have been affected by the slack conditions prevailing in the economy during the greater part of 1966 and1967 and the sharp rise of unit wage costs which had taken place in those years; but the easing of the labour supply situation should also have contributed to the moderation of wage increases. But in view of the recent improvement of the business climate, the faster progress of labour productivity and

Table 6 **Prices**

Percentage change from previous year

	1964	1965	1966	1967					1968			
				Year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qrt.	2nd qtr.	3rd qtr.	4th qtr.
Consumer prices	3.1	3.4	4.7	4.0	4.0	3.8	4.6	3.8	3.5	2.4	1.4	2.2[2]
Food	1.7	2.2	4.8	2.9	2.2	3.2	4.4	1.9	1.7	—0.5	—1.6	
Non-Food	4.0	4.2	4.7	4.6	4.8	4.1	4.7	4.6	4.4	3.7	2.8	
Rent	6.2	4.5	8.1	9.6	11.9	9.6	8.6	8.3	8.1	7.5	7.2	
Other	2.9	3.6	3.0	3.0	2.5	2.3	3.5	3.4	3.1	2.4	1.3	
Wholesale prices of materials and basic goods	1.3	0.6	1.8	0.3	—0.2	—0.3	0.9	0.8	1.0	—0.2	—0.7	0.3[2]
Domestic products	1.4	0.9	2.1	0.5	0.2	0.1	0.8	0.7	0.7	—0.5	—0.8	
Imported goods	1.2	—0.4	1.3	0.1	—1.1	—1.1	1.3	1.2	1.5	0.3	—0.3	
Manufactured food, drink, tobacco	1.3	0.6	5.2	2.2	1.5	3.1	3.3	0.7	—0.7	—2.4	—2.5	
Metals and metal products	5.3	2.0	3.4	—2.8	—1.8	—5.6	—2.6	—0.8	1.8	0.7	0.9	
Textiles	1.7	—3.6	—2.1	—3.9	—4.1	—4.2	—5.0	—2.2	—0.2	0.3	0.7	
Zurich building prices[1]	6.8	3.7	2.6	1.2	..	1.0	..	0.6	..	0.8	..	1.2

1 Annual data relate to the average of April and October.
2 November.

Source : La Vie économique.

the rather important pay adjustments of federal government employees (6 per cent in real terms with effect from 1st January 1969) the wage trend is likely to steepen in 1969.

Table 7 **Wages**
Percentage rise from previous year

	1962	1963	1964	1965	1966	1967	1968 Jan.-Sep.
Average hourly earnings of workers[1]	7.6	7.9	7.9	7.9	7.7	6.4	
Average monthly salaries[1]	6.4	6.8	7.1	6.7	6.8	7.2	
Wage rates[2]	5.7	5.4	6.0	4.8	5.9	5.4	4.2

1 Industry, trade and transportation.
2 Industry and building.
Source : La Vie économique.

Foreign trade and payments

Switzerland's external financial position strengthened further in 1968. The current balance of payments surplus, which had doubled between 1966 and 1967, was running at an average annual rate of about $500 million in 1968 (3 per cent of GNP). At the same time there was a sharp reversal from outflow to inflow of non-monetary capital. The resulting overall surplus on non-monetary transactions was up to the third quarter of 1968 fully reflected in the improvement of the commercial banks' net foreign exchange position.

All main components of the current balance contributed to the improvement in 1968—which was largely concentrated in the first half of the year. The biggest change has been the shrinkage of the deficit on merchandise trade account but the surplus on services (and notably factor income) has also increased faster, and the slight downward tendency of the transfer deficit manifest in 1967 may have continued. As in previous years, Switzerland has again benefited importantly from an improvement of her terms of trade, and this may account for at least half of the total increase of the current surplus likely to be recorded in 1968 as a whole.

The trend of merchandise exports, virtually flat during the first nine months of 1967, steepened sharply up to October 1968 but may become less buoyant in coming months. In January-October shipments to abroad on a customs clearance basis exceeded the level of a year earlier by more than 13 per cent after an average increase of less than 7 per cent in 1967. The acceleration was mainly accounted for by the sharp reversal of the former downward trend of exports to Germany and the marked recovery of sales to the

Table 8*a* **Balance of payments**
US $ million

	1962	1963	1964	1965	1966	1967					1968		
						Year	1st qrt.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
Total trade	—754	—776	—898	—650	—568	—524							
of which : special trade[1]	—787	—820	—942	—709	—647	—605	—185	—184	—181	—43	—151	—119	—141
Total services	577	606	767	838	955	1 015							
of which : tourism	280	298	347	365	382	395							
investment income	181	196	211	259	316	355							
Balance on goods and services	—177	—170	—131	187	386	491	53	89	206	143	113	192	260
Total current transfers	—161	—189	—280	—257	—265	—251	(—63)	(—63)	(—63)	(—63)	(—62)	(—62)	(—62)
of which : remittances of foreign workers subject to control				—285	—293	—246							
Current balance of payments	—338	—360	—411	—70	121	240	(—10)	(26)	(143)	(81)	(51)	(130)	(198)
Non-monetary capital						—127	(90)	(—30)	(1)	(—188)	(245)	(266)	(—34)
Total non-monetary transactions						113	(80)	(—4)	(144)	(—107)	(296)	(396)	(164)
Reflected in:													
Commercial banks' foreign positions						—61	307	—68	202	—502	706	8	454
Balance of official settlements	345	149	148	61	—15	174	—227	64	—58	395	—410	388	—290

1 Imports c.i.f., exports f.o.b.

Sources : Monthly Report of the National Bank.

NOTE Figures in brackets are rough Secretariat estimates. Quarterly current balance of payments data have been calculated on the basis of national account estimates and the assumption of virtually constant quarterly deficits on current transfers. Figures on the balance of official settlements and the commercial banks' foreign exchange position are taken from BIS sources. All other data relating to capital movements have been calculated by way of difference.

Table 8*b* **Components of Current Balance of Payments Changes**
Contribution to Improvement (+)
US $ million

	1960	1961	1962	1963	1964	1965	1966	1967	1968[1] 1st half
Current balance total	—81	—305	—127	—22	—51	341	191	119	310
Merchandise[2]	—121	—301	—134	—33	—122	223	62	42	166
of which due to relative price changes	102	61	80	5	39	57	54	104	
Services[3]	45	47	42	37	82	91	82	50	80
of which due to relative price changes	32	17	27	25	38	38	47	51	
Factor income	10	1	10	3	9	65	53	14	54
Transfers	—15	—52	—45	—14	—20	—38	—5	12	10

1 Seasonally adjusted annual rate, estimates.
2 Exports f.o.b., imports c.i.f.
3 Excluding the c.i.f. content of imports.
Source : La Vie économique.

United States and African countries. On the other hand, exports to the United Kingdom and France rose much less vigorously than a year earlier. The relative competitive position of Swiss exporters has improved further in 1968. Except in the United States important market shares have been gained vis-à-vis most other OECD countries.

Table 9 **Foreign Trade by Commodity Groups**
Percentage changes from previous year

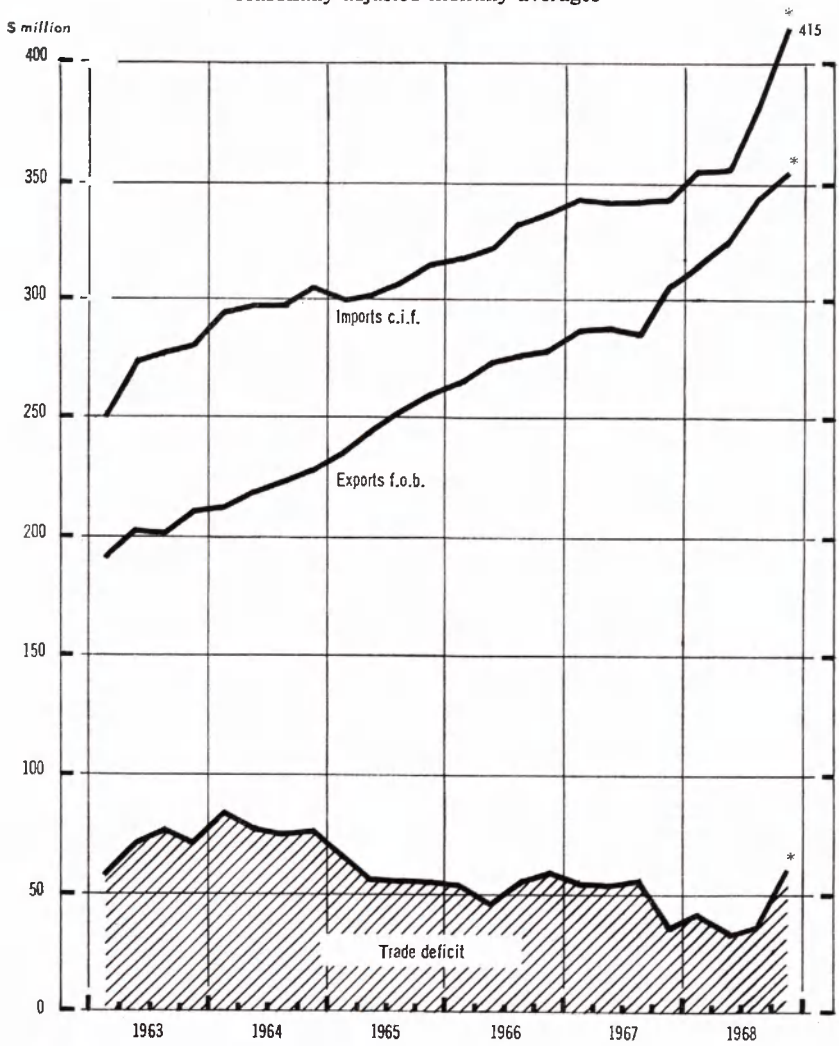
	1965 value US $ mill.	1965	1966	1967	1968 Jan.-Sept.
		Imports c.i.f.			
Raw materials and semi-finished goods	1 683	5.0	6.4	2.7	2.5
Lubricants and fuels	219	—0.4	2.6	8.2	20.1
Investment goods	610	—3.2	10.2	0.8	16.8
– excluding aircrafts	584	—1.8	8.7	0.5	5.4[1]
Consumption goods	1 167	2.6	6.3	8.8	5.0
Total	3 678	2.5	6.8	4.6	6.7
		Exports f.o.b.			
Raw materials and semi-finished goods	1 151	13.2	10.1	5.3	14.9
of which chemical products[2]	585	11.5	11.1	8.3	
Lubricants and fuels	4	34.3	0	27.1	23.5
Investment goods	928	12.4	10.3	7.2	15.6
Consumption goods	888	10.6	11.1	8.1	13.1
Total	2 971	12.2	10.4	6.8	14.1

1 Estimate.
2 Including finished goods.
Source : La Vie économique.

Merchandise imports, which had remained virtually stable throughout 1967, have since behaved rather erratically though the underlying trend has pointed clearly upwards. The first ten months of 1968 have seen a continued fall of imports of metals and metal products, textiles and food, but strongly rising imports of oil, aircraft and vehicles. The rate of growth of non-food consumer goods has declined, but imports of investment goods have shown a remarkable recovery in recent months.

Capital movements added strength to the external position in 1968 in spite of an accelerated outflow of Swiss private capital. From partial information on current transactions and reserve movements it can be inferred that non-monetary capital transactions yielded a surplus of about $500 million in the first nine months of 1968 after a net outflow of $127 million in 1967. The greater part of this inflow was probably connected with the "gold crisis" in the early spring and the French events in May-June, and

Diagram 3 **Foreign trade**
Seasonally adjusted monthly averages



* October only.
Source: Main Economic Indicators, OECD.

may have been reflected in an improvement of the terms of payments and a running down of Swiss non-banks' assets abroad. The combined overall surplus on non-monetary transactions bolstered the net foreign position of the commercial bank's rather than official reserves which, totalling $3 541 million at the end of September, exceeded the level of a year earlier by $78 million only.

III ECONOMIC POLICY

The general orientation of policies has not changed since the Stabilisation Programme came to its statutory end in March 1967. The policy setting has, however, favoured a revival of demand and a faster progress of productivity. There has been a further easing of monetary conditions and the rules governing foreign labour have been relaxed. The public sector has continued to exert an expansionary impact on the economy although the liquidity effect of the Federal budget has remained contractionary.

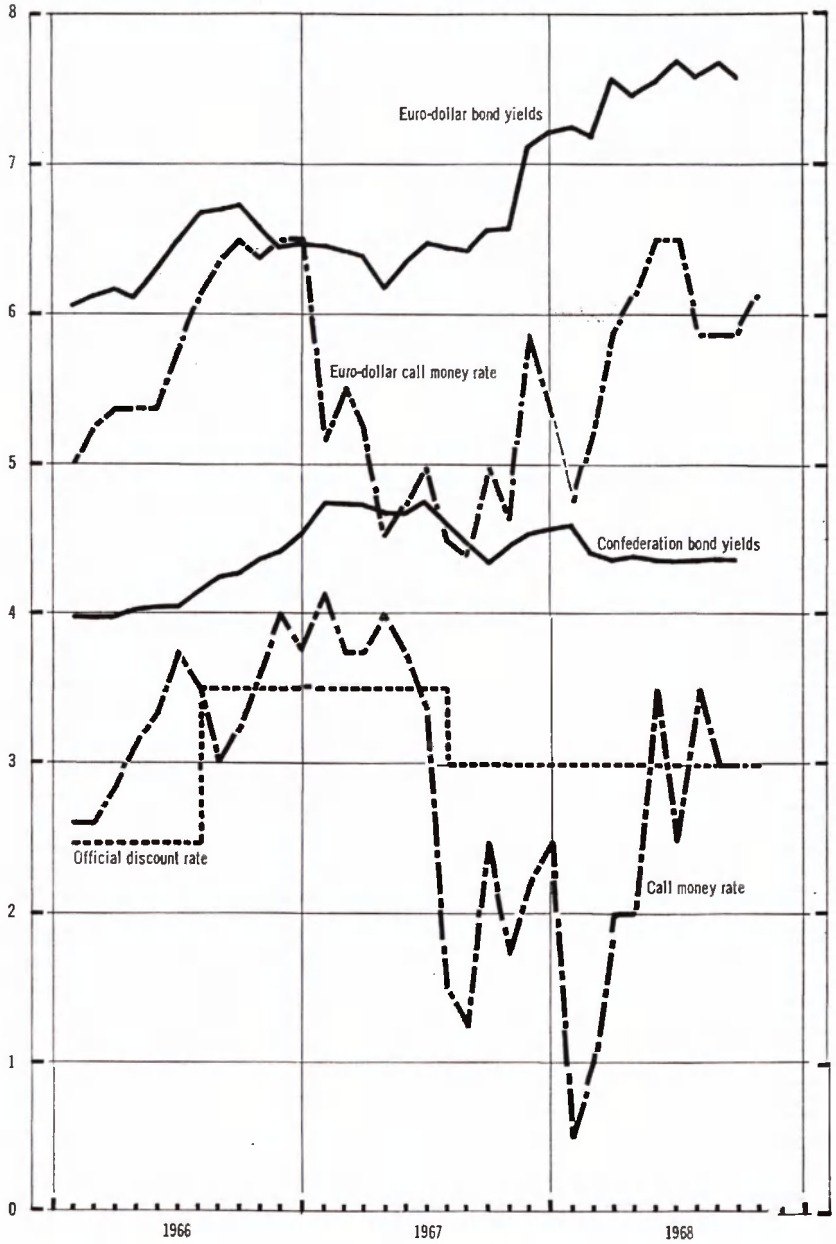
In view of the relatively favourable current trends, economic policy discussion has recently been concentrated on longer-term issues. There is some uneasiness in Switzerland about the potential danger of inflationary pressure emanating from the growing claims of the public sector on the economy and the ample liquidity base of the banks. The lack of adequate instruments to cope with the risks involved by such a situation is widely acknowledged. To extend the powers of the monetary authorities, a bill amending the National Bank Law has recently been submitted to Parliament and measures are being considered to adjust the Confederation's tax system to its rising financial needs.

Monetary policy and banking

While keeping monetary conditions easy, the National Bank has been primarily concerned with stimulating capital exports and evening out speculative and seasonal fluctuations in short-term banking flows. To this end, favourable swap rates have on occasions been offered to the banks and applications for foreign bond issues in the Swiss market were handled liberally. Substantially more foreign loans have been approved by the National Bank, and in June, the ceiling below which foregin loans can be issued without approval was raised from S.F. 5 million to the legal limit of SF 10 million. Policy towards domestic capital market borrowing has remained easy. Since the middle of 1967, the quarterly ceilings fixed by the Swiss Bankers Commission within the framework of the voluntary issue control scheme have been rather regularly set at about 15 per cent above the corresponding amount in the previous year, fully meeting the volume of applications for the fourth quarter of 1968.

Money and credit markets have been characterized by easy conditions in 1968, particularly in the earlier part of the year. Mainly because of pressure from interest rates abroad, Swiss commercial banks have, however, raised the rate on 3 to 5 month deposits in three steps from $2^3/_4$ per cent in early May to 4 per cent as from 3rd October. Call money rates in Zurich

Diagram 4 Interest rates
End of month



Source: Monthly Report of the Swiss National Bank.

went up from less than 1 per cent in January and February to $3^1/_2$ per cent at the end of June, but eased off somewhat thereafter in line with a downward tendency of money market rates abroad. By contrast, long-term interest rates showed little change during 1968.

The easy money conditions have been reflected in a further strengthening of bank liquidity. In December 1967, the National Bank released to the commercial banks the remaining two-thirds (SF 690 million) of their deposits that had been blocked since 1961. The liquidity position has been further bolstered by a massive increase of deposits, with the trend from longer-term to sight deposits continuing. During the first nine-months of 1968, total deposits from non-banks rose by more than 11 per cent or SF 6 289 million as compared with SF 3 196 million a year earlier. Over the same period, the incremental deposit/lending ratio went up from 0.9 to 1.5. The greater part of the increase was accounted for by the strong inflow of funds from abroad. Banks' assets abroad (adjusted for mid-year swaps and excluding portfolio investment) stood at $7.2 billion at the end of June, exceeding foreign liabilities by $1.2 billion. Thus the foreign exchange position of the banks constitutes by far the most important source of secondary liquidity reserves.

Bank lending to domestic customers remained depressed in the first quarter of 1968 but has since shown a marked recovery, largely reflecting a sharp increase in mortgage loans. By contrast, advances to foreign customers, buoyant up to the spring of 1968, have grown much less in subsequent months. During the first nine months of the year, total outstanding credits (excluding inter-bank loans) of 72 banks covered by current statistics rose by 6.0 per cent as compared with 5.7 per cent a year earlier.

The rise of capital market activity, manifest since the autumn of 1967, has continued during 1968. Between January and September, total security issues, net of redemptions and conversion issues, amounted to SF 2 937 million as against SF 2 356 million a year earlier. About half of the increase was accounted for by foreign bond issues (including flotations by foreign holdings operating in Switzerland). Bond and share issues of the domestic business sector have also shown a sharp increase, but recourse to capital market borrowing by the banks has contracted.

Public finance

The impact of public finance on the economy appears to have remained moderately expansive in 1968. Total government spending on goods and services (federal, cantonal and local, excluding Social Security) rose faster than private demand, with the share of public expenditure in GNP at current

Table 10 **Selected Assets and Liabilities of 72 Banks**

SF million

	Outstanding end 1967	Increase or decrease					
		1964	1965	1966	1967	Jan.-Sept. 1967	Jan.-Sept. 1968
Assets :							
Cash position	5 566	479	100	81	642	—376	11
Lending to non-banks	68 899	4 256	4 690	4 875	6 142	3 577	4 148
Mortgages	29 790	1 588	1 705	1 775	1 992	1 357	1 741
Loans to public authorities	4 165	331	523	404	459	317	83
Other loans	29 126	1 686	2 052	2 763	2 791	1 522	2 561
Discount credits	5 819	651	410	—67	901[1]	381[1]	—237
Liabilities :							
Deposits from non-banks	55 998	3 357	3 294	3 437	4 641	3 196	6 289
Sight	16 285	835	413	190	1 186	808	2 266
Time	13 795	1 164	1 153	1 437	1 173	1 148	2 100
Savings and deposit accounts	25 918	1 358	1 728	1 810	2 282	1 240	1 923
Own Bonds	22 007	1 963	2 030	1 121	2 792	2 244	2 109
Medium-term	13 121	750	1 245	440	2 147	1 736	1 771
Mortgage	4 467	476	246	255	231	155	164
Other long-term	4 419	737	539	426	414	353	174
Incremental deposit/lending ratio		0.79	0.70	0.71	0.76	0.89	1.52
Incremental liability/lending ratio		1.25	1.14	0.93	1.21	1.52	2.02

1 Including S.F. 260 million purchases of DIS provisionary notes.

Source : Monthly Report of the Swiss National Bank.

Table 11 **General Government Account**
Excluding Social Security
SF million

	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968[1]
1 Current expenditure on goods and services	2 740	2 915	3 330	3 620	3 590	3 620	4 320	5 015	5 645	6 210	6 620	7 310	8 010	8 700
2 Subsidise and transfers	1 090	1 075	1 205	1 385	1 445	1 495	1 685	1 848	1 935	2 300	2 555	2 930	3 255	3 700
3 Total current expenditure (1 + 2)	3 830	3 990	4 535	5 005	5 035	5 115	6 005	6 860	7 580	8 510	9 175	10 240	11 265	12 400
4 Total current revenue net of interest on public debt	4 695	5 280	5 300	5 805	6 005	6 805	7 665	8 900	9 335	10 465	11 035	12 250	13 175	14 300
5 Gross saving (4 — 3)	865	1 290	765	800	970	1 690	1 660	2 040	1 755	1 955	1 860	2 010	1 910	1 900
– per cent of total net national saving	20.8	29.3	16.5	18.8	18.6	26.3	22.5	26.1	20.5	19.9	17.4	17.5	16.1	
– per cent of public investment	112.3	151.8	73.2	72.4	81.5	139.7	113.3	108.2	72.4	65.8	60.8	59.5	(54.0)	(50.7)
6 Gross asset formation	770	850	1 045	1 105	1 190	1 210	1 465	1 885	2 419	2 967	3 054	3 380	3 535	3 750
7 Financing requirements - balance of income effective transactions (6 — 5)	—95	—440	280	305	220	—480	—195	—155	669	1 016	1 199	1 370	1 625	1 850
8 Gross national product	27 265	29 285	30 870	31 520	33 840	37 055	41 490	46 050	50 370	55 540	59 985	64 625	68 940	73 450
9 (1) + (6) in percent of (8)	12.9	12.9	14.2	15.0	14.1	13.0	13.9	15.0	16.0	16.5	16.1	16.5	16.7	17.0
10 (7) in percent of (8)	—0.3	—1.5	0.9	1.0	0.7	—1.3	—0.5	—0.3	1.3	1.8	2.0	2.2	2.4	2.5
Note:														
Interest on public debt in percent of current receipts	9.9					8.1			6.6	6.6	6.8	7.1	7.2	
Debt in percent of current receipts	247					172					123	121		

1 Secretariat estimates.
Source : La Vie économique.

prices likely to rise from 16.7 per cent in 1967 to about 17 per cent in 1968. Spending on subsidies and other current transfers continued to rise strongly and the financing gap between investment and current saving increased somewhat (implying a growing deficit on "income effective" transactions), though in terms of GNP the rise in the deficit was probably small.

Looking further back, it can be seen from Table 11 that since 1960 the position of the public sector has changed progressively from an important net lender (excess of saving over investment) to a growing net borrower. The swing from the all-time high surplus in 1960 (SF 480 million or 1.3 per cent of GNP) to the deficit likely to be attained in 1968 (SF 1 850 million or 2.5 per cent of GNP) amounted to SF 2 330 million. The expansionary impact thereby exerted on the economy (representing 6.4 per cent of the change of GNP at current prices registered between 1960 and 1968) was particularly pronounced in 1961, 1963 and 1964. It is to be noted, however, that the previous tendency of the relative debt and debt service burden to diminish continued up to the middle of the sixties and has since been reversed only slightly. In per cent of current receipts, interest payments on outstanding public debt amounted to some 7 per cent in 1968 as compared with almost 10 per cent in 1955 and 8 per cent in 1960; total debts in terms of GNP fell from 43 per cent in 1955 to 32 per cent in 1960 and further to 23 per cent in 1966. These ratios are low by international standards, especially if viewed against the background of the relatively modest overall tax burden of the economy.

The Federal budget

The growth of Federal budget expenditure in 1968 (which only covers about one-third of total gross public spending) is likely to exceed the 10.5 per cent (on 1967 results) initially envisaged by more than 2 percentage points. Supplementary expenditure appropriations mainly reflect new subsidy arrangements for certain agricultural products, additional credits for residential construction, and salary adjustments. But since receipts are also expected to rise faster than foreseen, the deficit before debt redemption will probably be slightly less than the SF 180 million (0.25 per cent of GNP originally envisaged. The actual deficit in 1967 was SF 156 million.

Allowing for the recent change of budgetary conventions in respect of defence tax receipts, the deficit of the Federal Government has clearly risen in 1968 after some fall in 1967[1]; the overall impact of the budget may, nevertheless, have been less expansionary than the statistics would suggest since

1 There would have been no deficit in 1967 if the new practice of budgeting defence tax receipts on an accrual rather than on a payments basis had already been applied.

Table 12 **Federal Budget**
S.F. billion

	1964	1965	1966	1967	Voted budget 1967	Voted budget 1968	Gov. proposals 1969
1 Receipts	5.28	4.95	5.69	5.72	5.41	6.32[3]	6.72
of which : direct taxes	1.08	0.82	1.35	—	1.04	1.57	—
indirect taxes	3.40	3.59	3.78	—	3.85	4.14	—
2 Expenditure	4.86	4.92	5.68	5.87	5.83	6.50	7.15
– salaries	—	—	—	0.65	—	—	0.77
– consumption of goods and services	—	—	—	1.47	—	—	1.59
– investment	—	—	—	0.20	—	—	0.25
– transfer to private sector	—	—	—	1.42	—	—	1.94
of which : subsidies	—	—	—	(0.44)	—	—	(0.61)
social security	—	—	—	(0.66)	—	—	(0.94)
– capital transfers to private sector	—	—	—	0.02	—	—	0.02
– transfer to public sector	—	—	—	1.72	—	—	2.05
of which : capital transfers	—	—	—	(0.98)	—	—	(1.05)
– interest payments	—	—	—	0.22	—	—	0.25
– loans and participation	—	—	—	0.19	—	—	0.29
3 Overall budget surplus or deficit (—)[1]	0.42	0.03	0.01	—0.16	—0.42	—0.18[3]	—0.43
4 Net change in non-monetary assets[2]	0.17	0.42	0.28	0.36	0.52	0.27	0.32
5 Net real and financial savings (3 + 4)	0.59	0.45	0.29	0.21	0.10	0.09	—0.12
6 Domestic debt repayment	0.32	0.18	0.01	—0.14			
7 Net repayments to abroad	0.05	0.34	0.31	0.27			
8 Internally effective surplus (3 — 6 + 7)	0.15	0.19	0.31	0.25			

1 Before debt payments. Surplus on the "Compte financier".
2 Surplus on the "Compte des variations de la fortune".
3 From 1968 onwards, the former practice of budgeting advance payments resulting from the two-yearly cycle of the defence tax has been discontinued. As 1968 has been a year of relatively high defence tax payments, anticipatory payments of about S.F. 150 million have been included in the 1969 budget proposals.

Source : Swiss Federal Administration.

the imputable or implied increase in the deficit was fully accounted for by a revenue loss of SF 190 million resulting from the cuts of EFTA customs duties and those negotiated in the Kennedy round. These cuts should primarily have strengthened demand for foreign rather than for domestic products. It should also be noted that the increase in actual tax payments in 1968 was higher than shown in the budget because of advance payments on the defence tax of SF 150 million which will appear in the 1969 budget accounts only. Furthermore, net payments to abroad are likely to increase from SF 266 million in 1967 to some SF 300 million in 1968, so that the absorption of domestic liquidity through federal budget operations (excluding transactions with public enterprises) seems to have been higher than a year earlier.

The 1969 budget proposals, presented to Parliament at the end of October, foresee expenditure increases of 7.5 per cent over estimated actual spending in 1968 and a 4 per cent rise in receipts[1], leaving a deficit before debt redemption of SF 434 million (0.6 per cent of GNP). The rise in the deficit is again fully accounted for by the estimated revenue loss (SF 290 million) resulting from the reduction of customs duties. On the expenditure side, payments to Social Security and agriculture, and spending on behalf of universities, account for more than two-thirds of the total increase. Payments to abroad are expected to grow further. The estimates of receipts have been based on a 6.5 per cent increase in GNP at current prices with an absolute decline foreseen for taxes on income and property (although the estimates include the anticipatory tax payments effected in 1968). Should receipts not rise faster than foreseen, the 1969 budget will probably lend some additional support to economic activity.

Foreign labour policy[2]

Without abandoning the aim of stabilizing the number of foreigners gainfully employed in Switzerland, the rules governing employment of foreign workers subject to control have been revised as from 7th March, 1968. The new regulations ease the rigid employment ceilings fixed for each firm. Workers who have regularly lived in Switzerland for at least seven years are no longer counted against the ceiling, and for seasonal workers, individual ceilings have been replaced by nation-wide branch ceilings. From 1969 onwards, the minimum residence period required for

1 Compared with the 1968 initial estimates, expenditures are expected to rise by about 10 per cent and receipts by 6.5 per cent.

2 See also last year's Annual Survey of the OECD which includes a historical review of foreign labour trends and policies and an assessment of the impact of foreign labour movements on the Swiss economy.

exclusion from the restrictions will be lowered to five years. But a further reduction in non-seasonal workers (in possession of temporary stay-and-work permits) has been decreed; a 3 per cent cut was to be carried out by the end of November 1968, and another 2 per cent during the following twelve months if the total number of foreign labour, including those exempt from control, has not been stabilized.

Table 13 **Foreign Workers Subject to Control**
Thousands

	1960	1963	1964	1965	1966	1967	1968
Total	435	690	721	676	649	648	648
By type of work or residence permit:							
Seasonal	140	201	206	184	165	154	144
Non-seasonal	257	442	465	446	436	436	441
Frontier worker	39	47	49	46	48	59	63

Sources: La Vie économique; Statistical Yearbook of Switzerland.
NOTE Figures relate to August of each year.

Enlargement of policy instruments

As pointed out in previous OECD Surveys[1], demand management policies in Switzerland have been hampered by the lack or inadequacy of instruments. This reflects institutional, political and historical factors as well as psychological constraints. The need to provide the policy-making authorities with greater scope for action, and to formulate policies within the framework of longer-term objectives, has been increasingly recognised in recent years. In May 1968, the Government submitted to the public for the first time a comprehensive policy programme covering the current legislative period ending 1971. This programme includes a projection for budgetary expenditure and receipts over a period of years and stresses, among other things, the need to extend the powers of the National Bank and to restore budgetary balance.

(i) *Federal finance*

According to the recently revised federal budget forecast, covering the period 1969-71, the deficit before debt redemption is expected to increase from S.F. 434 million in 1969 to about S.F. 600 million in 1971 in spite of an expected progressive slowing down of the growth of expenditure from 11

1 See in particular the Annual Survey published in 1966, pp. 22-27.

per cent in 1969 to 4 per cent in 1971[1]. Ways and means of checking the increase of expenditure even more are being studied notably in the field of agricultural subsidies[2]. The preparatory work to revise the "Financial Order" (Finanzordnung) before its legal ending in 1974 has also been intensified. The measures already proposed and likely to be submitted to Parliament in the course of 1969 include: the cancellation of the 10 per cent rebate on turnover and defence tax plus a 5 per cent increase of the turnover tax rate and modifications of the progressive nature of the defence tax. Both taxes should be anchored permanently in the Swiss Constitution[3] and the Parliament should be constitutionally empowered to raise special commodity taxes and levies. The new measures could take effect as from 1971 at the earliest, yielding additional receipts of S.F. 257 million in 1971 and S.F. 478 million in 1972.

(ii) *Monetary policy*

According to the Federal constitution, the general tasks of the Swiss National Bank are not different from those of other central banks. But the instruments provided have been inadequate. They consist of discount and collateral credit policy, certain types of open market operations, authority to influence the interest rate on bonds issued by the banks and to approve or disapprove capital exports in the form of bank credits to abroad and foreign bond issues in Switzerland. The application of the discount policy seems to be encountering certain difficulties since the banks are traditionally reluctant to draw on the National Bank's discount facilities[4]. But the main obstacle to any effective credit policy has been the virtual lack of any influence by the National Bank on the liquidity base or the credit potential of the banks.

At the end of August, the Federal Government presented to Parliament the final bill on the revision of the National Bank Law of 1953[5]. The new proposals aim at increasing the effectiveness of monetary policies by extending the legal powers of the Bank. The most important provisions are to enable the National Bank:

1 Earlier estimates of a government-nominated group of experts (published in 1966) foresaw the financial deficit to increase from S.F. 1.1 billion in 1969 to S.F. 1.6 billion in 1971 and to reach S.F. 1.9 billion in 1974.

2 Since the production of milk and milk products, fruit and potatoes is currently running at an excessive volume, the application of subsidies only to production that can be absorbed by the market is being considered.

3 The legal basis of these taxes will expire in 1974.

4 Furthermore, it should be noted that Swiss Banks are generally fairly liquid. To reinforce their liquid position at peak periods of seasonal fluctuations they sell foreign exchange to the National Bank or deposit treasury bills as collateral for credit.

5 The new draft law includes virtually all the proposals originally submitted to the public for discussion in May 1966.

(*i*) to issue its own interest-bearing debt certificates for open-market operations;

(*ii*) to impose minimum reserve requirements on incremental deposits, with the possibility of applying the requirements to changes over the previous 12 months. The maximum ratios envisaged range from 5 per cent for medium-term cash bonds and savings deposits to 40 per cent for sight and bank deposits, with double ratios for the corresponding liabilities vis-à-vis foreigners;

(*iii*) to introduce global ceilings for the expansion of domestic bank credit. The permissible rate of growth of bank lending would, however, not be fixed below the previous year's increase in real GNP. Credit control arrangements can only remain in force for a maximum period of two years with the situation being reconsidered at least every six months;

(*iv*) to introduce global ceilings for public capital market issues.

Even when the law is passed, the scope for the National Bank to influence credit conditions would still appear to be much more limited than in most other countries, particularly in view of the fact that banks[1] and business dispose of high liquid funds abroad. The application of incremental reserve ratios implies that the Bank can only mop up part of the additional liquidity accruing to the banks through the growth of deposits. In reverse, it can only enlarge the credit base of the banks if it had previously obliged them to keep minimum reserves, which under normal conditions should not be the case. The time sequence for the use of the new instruments would seem to constitute another important restriction of an effective monetary policy. Minimum reserves can only be imposed or raised when milder measures such as discount policy, open-market purchases and swap transactions risk being insufficient. Credit ceilings are considered as a last resort, when all other means would fail to contain the expansion of credit and agreements with the banks on a voluntary basis would be unlikely to produce the desired results. Moreover, the Bank can only restrict the expansion of credit and oblige credit institutions to keep minimum reserves after consulting the permanent Banking Commission[2] and asking the opinion of the National Bank Committee[3]. In the case of disagreement, action can only be taken if the Bank Board of Directors takes a unanimous decision.

1 In the case of banks, the present value of foreign investment is three times as big as the amount of primary and secondary domestic liquid reserves (central bank money plus commercial bills).

2 A commission of nine members representing the various banking groups according to their balance sheets.

3 The National Bank Committee is composed of the President and the Vice-President of the Bank and eight members of the Bank Council representing business and both sides of industry.

IV PROSPECTS AND CONCLUSIONS

Trends in 1968 have been more favourable than during the previous couple of years. Recessionary tendencies which had spread progressively in the economy up to the autumn of 1967 have been checked and a more normal rate of growth has been resumed since. Prices have been stabilized and the excess of wage increases over productivity advances has been appreciably reduced. The restoration of internal financial stability together with the achievement of a more satisfactory rate of growth have, however, been rendered possible by a combination of rather special internal and external factors. The weakening of growth of nominal domestic demand, notably private consumption, appreciably reduced the scope for raising home-market prices. The price problem was also alleviated by a fall of food and fuel prices and a substantial easing of wage/cost pressure. Growth was accelerated by the fact that the weaker trend of domestic demand was more than matched by the vigorous upswing of foreign demand. This entailed a shift of the pattern of demand towards the higher productivity sectors, and overall productivity was also favoured by the easing of foreign labour restrictions which stimulated labour mobility. The rise of the external surplus on goods and services probably accounted for about 30 per cent of the expansion of GNP at constant prices in 1968. In terms of nominal GNP the surplus is likely to rise from 3 per cent in 1967 to as much as 4.5 per cent in 1968, of which only 1.5 percentage points are needed to cover the traditional deficit on current transfer payments. In terms of national savings the surplus (net of transfer payments) may be of the order of 17 per cent. It is believed by the Swiss authorities that a surplus of this order of magnitude will not continue for long.

The external surplus may, however, not change much in the immediate future as suggested by the prospective trends of world trade. The growth of exports has remained vigorous until October 1968, but Swiss markets abroad are expected to rise less rapidly in 1969 than in 1968. The recent upsurge of imports is unlikely to continue but they should keep pace with exports. There are undoubtedly signs of a revival of both private household demand and business spending activity and it remains to be seen whether total domestic demand will recover sufficiently to maintain the overall growth of activity in the face of less buoyant export prospects. Private consumption should accelerate in line with the likely steeper trend of wages; and stock formation may exhibit some buoyancy. The number of building permits issued and the mortgage credits granted during 1968 suggest a pick-up of residential construction. The development of private productive investment is more difficult to predict but the sharp increase in the volume of industrial building projects inspected in the second and third quarters of 1968 and

the improvement of the business climate point to a strengthening of investment propensities.

It seems, on balance, unlikely that any significant strains on domestic resources will develop in 1969. But price developments, notably in the consumption sector, might be rather less favourable given the likely absence of the exceptional circumstances prevailing during most of 1968. But such a development should not, in itself, be taken as a sign of an inflationary excess of aggregate demand.

Since 1965, private savings have exceeded private investment by increasing margins. This margin, exceeding 5 per cent in terms of GNP in 1968, has been offset by the rapid growth of the export surplus and by increasing deficits on government income-effective transactions (excess of public investment over public saving). While the re-emergence of a large external surplus has been generally welcomed in Switzerland, the change of the public sector from a net lending position at the beginning of the 'sixties to a growing net borrowing position since 1963 has been denounced as inflationary and incompatible with "sound" budgetary practice. It is true that the "deterioration" of the financial position of the government sector during the 1961-1964 period was inconsistent with the objective of maintaining a reasonable overall balance of the economy but the situation in recent years has clearly called for some stimulus.

As long as private households and enterprises continue to save in excess of their current investment needs and price increases remain within tolerable limits, the public sector needs to be a net borrower. The Government is, however, facing increasing resistance of public opinion which in Switzerland is particularly hostile to any sort of deficit spending. This stresses the need to develop better public understanding of the problems of demand management and the role which the public sector should play. A report by a group of fiscal experts recently published by OECD[1] underlines that "the object of policy is not to balance the budget of the public sector, but to balance the economy as a whole;" and that "it is important that governments should feel free to make appropriate use of budget surpluses or deficits, in conjunction with monetary and other policies, to counteract excesses or deficiencies of demand in the rest of the economy."

The short-term requirements of demand management policies should, however, not affect the present efforts to open new and better sources of public finance and to cut "unproductive" spending in order to make room for urgently needed infrastructural investments. Medium-term budget

1 "Fiscal Policy for a Balanced Economy—Experience, problems and prospects." Report by a group of Independent Experts, OECD, Paris, December, 1968.

projections point to a fundamental weakness of the financial position of the government sector. But in view of the relatively low tax burden there should be sufficient scope to prevent the gap between revenue and expenditure from widening as forecast and to provide the government with better fiscal policy instruments for counteracting excessive demand in the future.

The proposed amendments of the National Bank Law are to be welcomed as a much-needed contribution to facilitating the use of monetary policy. But the envisaged new powers of the Bank are still comparatively limited and cannot remove some of the more basic constraints (e.g. the traditionally low degree of banks' dependence on National Bank credit facilities and the close Swiss inter-relationship with foreign money and credit markets) under which the Swiss monetary authorities are operating. This also highlights the need for increasing the scope and the effectiveness of fiscal policy instruments in the future.

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STATISTICAL ANNEX

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Table A **National Product and Expenditure**
Million Swiss francs, current prices

	1960	1961	1962	1963	1964	1965	1966	1967
Consumers' expenditure	22 960	25 100	27 875	30 170	32 820	35 285	37 870	40 620
Government current expenditure	3 740	4 450	5 160	5 815	6 400	6 835	7 555	8 275
Gross fixed asset formation	8 655	10 830	12 640	14 400	16 390	16 600	17 080	17 485
Change in stocks	1 015	1 520	1 140	720	800	450	450	435
NATIONAL EXPENDITURE	36 370	41 900	46 815	51 105	56 410	59 170	62 955	66 815
Exports of goods and services (non-factor)	10 970	12 035	13 165	14 380	15 930	18 100	19 890	21 275
Less : Imports of goods and services (non-factor)	10 775	12 940	14 470	15 670	17 395	18 160	19 325	20 315
GROSS DOMESTIC PRODUCT AT MARKET PRICES	36 565	40 995	45 510	49 815	54 945	59 110	63 520	67 775
Less : Net indirect taxes	2 230	2 610	2 875	3 195	3 520	3 790	4 010	4 185
Net income from the rest of the world	490	495	540	555	595	875	1 105	1 165
GROSS NATIONAL PRODUCT AT FACTOR COST	34 825	38 880	43 175	47 175	52 020	56 195	60 615	64 755

Source : La Vie économique.

Table B **National Product and Expenditure**

Million Swiss francs, 1958 prices

	1960	1961	1962	1963	1964	1965	1966	1967
Consumers' expenditure	22 890	24 595	26 225	27 565	28 905	29 985	30 825	31 690
Government current expenditure	3 545	4 010	4 380	4 745	4 935	4 985	5 165	5 335
Gross fixed asset formation	8 245	9 675	10 715	11 400	12 415	12 235	12 180	12 230
Residential construction	2 435	2 720	2 680	2 745	3 110	3 095	3 025	2 945
Public works	1 365	1 490	1 780	2 075	2 390	2 400	2 570	2 635
Other construction	1 705	2 085	2 250	2 440	2 625	2 395	2 190	2 160
Machinery and equipment	2 740	3 380	4 005	4 140	4 290	4 345	4 395	4 490
Change in stocks	1 060	1 495	1 105	675	735	450	420	415
NATIONAL EXPENDITURE	35 740	39 775	42 425	44 385	46 990	47 655	48 590	49 670
Exports of goods and services (non-factor)	10 700	11 515	12 190	12 845	13 735	15 325	16 125	16 700
Less : Imports of goods and services (non-factor)	11 210	13 465	14 900	15 670	17 070	17 665	18 280	19 130
GROSS DOMESTIC PRODUCT AT MARKET PRICES	35 230	37 825	39 715	41 560	43 655	45 315	46 435	47 240
Net income from the rest of the world	540	565	620	630	675	940	1 150	1 240
GROSS NATIONAL PRODUCT AT MARKET PRICES	35 770	38 390	40 335	42 190	44 330	46 255	47 585	48 480

Source : La Vie économique.

Table C **Income and Expenditure of Households and Private Non-profit Institutions**

Million Swiss francs

	1960	1961	1962	1963	1964	1965	1966	1967
Compensation of employees	18 995	21 420	23 940	26 685	29 415	32 090	34 315	36 535
Wages and salaries	18 270	20 605	23 035	25 680	28 305	30 900	33 065	35 215
Pay and allowances of armed forces	90	100	110	115	120	120	125	125
Employers' contributions to Social Security	635	715	795	890	990	1 070	1 125	1 195
Income from property and entrepreneurship[1]	9 150	9 995	10 915	11 680	12 800	13 725	14 865	16 040
Income of independent traders	5 940	6 580	7 210	7 710	8 420	8 765	9 290	9 750
Interest, rents, dividends, and corporate grants	3 210	3 415	3 705	3 970	4 380	4 960	5 575	6 290
Current transfers from Government	2 255	2 605	2 980	3 165	3 870	4 285	4 885	5 555
Current transfers from the rest of the world	210	220	230	245	250	240	260	260
INCOME OF HOUSEHOLDS etc.	30 610	34 240	38 065	41 775	46 335	50 340	54 325	58 390
Less : Direct taxes on households etc.	4 210	4 545	5 315	5 755	6 620	7 150	8 115	8 965
DISPOSABLE INCOME	26 400	29 695	32 750	36 020	39 715	43 190	46 210	49 425
Less : Current transfers to Government	650	775	875	875	785	790	780	860
Less : Current transfers to the rest of the world	540	755	960	1 120	1 180	1 275	1 315	1 245
Less : Consumers' expenditure on goods and services	22 960	25 100	27 875	30 170	32 820	35 285	37 870	40 620
Food	5 840	6 270	6 885	7 370	8 010	8 655	9 300	9 835
Clothing	2 090	2 255	2 435	2 680	2 830	2 960	3 095	3 190
Rent	2 720	2 880	3 100	3 320	3 615	3 940	4 380	4 905
Durables	12 310	13 695	15 455	16 800	18 365	19 730	8 945	9 625
Other							12 150	13 065
SAVINGS OF HOUSEHOLDS ETC.	2 250	3 065	3 040	3 855	4 930	5 840	6 245	6 700

1 Net of interest on consumer debts

Sources : La Vie économique; Swiss submission to the OECD.

Table D **Prices, Wages and Labour Cost**
Indices, 1963 = 100

	1960	1961	1962	1963	1964	1965	1966	1967
GDP deflator total	86.2	90.4	95,6	100.0	105.0	108.8	114.1	119.7
Private consumption	91.6	93.2	97.1	100.0	103.7	107.5	112.2	117.1
Gross fixed investment	83.1	88.6	93.4	100.0	104.5	107.4	111.0	113.2
The cost of living	91.0	92.7	96.7	100.0	103.1	106.6	111.7	116.2
Food	89.9	91.3	96.5	100.0	101.7	103.9	108.8	111.9
Non-food	91.7	93.6	96.8	100.0	104.0	108.4	113.6	118.1
Rent	88.5	91.4	96.0	100.0	106.2	112.1	121.2	132.8
Others	93.3	94.7	97.2	100.0	102.9	106.6	109.8	110.8
Wholesale prices of materials and basic goods	92.9	93.1	96.3	100.0	101.3	101.9	103.8	104.1
Agricultural products				100.0	101.7	102.9	104.1	105.7
Export prices (unit value)	92.0	93.0	99.0	100.0	103.6	105.6	110.3	113.8
Import prices (unit value)	96.0	96.0	97.0	100.0	101.5	102.5	105.3	106.1
Building prices (Zurich)	79.5	85.6	92.4	100.0	106.8	110.7	113.7	114.5
Average hourly wage rates of industrial and building workers		89.1	94.3	100.0	105.6	110.9	117.5	123.8
Average hourly wage earnings of skilled male industrial workers	80.0	85.4	92.2	100.0	107.6	115.4	123.6	130.8

Source : La Vie économique; Annuaire statistique de la Suisse.

Table E **Current Government Transactions**[1]

Million Swiss francs

	1960	1961	1962	1963	1964	1965	1966	1967
Central Government:								
Current revenue	3 150	3 375	4 055	4 085	4 940	4 915	5 660	5 690
Taxes and current transfers received	2 940	3 140	3 800	3 835	4 660	4 680	5 425	5 415
Income from property and entrepreneurship	210	235	255	250	280	235	235	275
Less : Current expenditure	1 950	2 530	2 710	2 770	3 295	3 395	3 745	3 910
Goods and services	1 020	1 530	1 680	1 655	1 840	1 890	2 160	2 175
Current transfers paid (including interest on public debt)	930	1 000	1 030	1 115	1 455	1 505	1 585	1 735
GROSS SAVINGS	1 200	845	1 345	1 315	1 645	1 520	1 915	1 780
Other Government:								
Current revenue	6 150	7 035	7 850	8 550	9 185	10 090	10 955	12 310
Taxes and current transfers received	5 225	6 055	6 765	7 485	8 060	8 905	9 595	10 815
Income from property and entrepreneurship	925	980	1 085	1 065	1 125	1 185	1 360	1 495
Less : Current expenditure	5 025	5 575	6 530	7 395	8 325	9 180	10 320	11 720
Goods and services	2 720	2 920	3 480	4 160	4 560	4 945	5 395	6 100
Current transfers paid (including interest on public debt)	2 305	2 655	3 050	3 235	3 765	4 235	4 925	5 620
GROSS SAVINGS	1 125	1 460	1 320	1 155	860	910	635	590

1 Including Social Security.

Source : Swiss submission to the OECD.

Table F **Money and Banking**
Million Swiss francs and percentages

	1964	1965	1966	1967					1968		
				year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
Interest Rates (end of period)											
Discount rate	2½	2½	3½	3	3½	3½	3	3	3	3	3
Call money (Zurich)	2¾	3	3¾	2½	3¾	3⅝	2½	2½	2	2½	3
3 months' deposits (Zurich)	3⅝	4		4	4½	4¼	3	4	2¾	3¾	3¾
Government bond yield	4.07	3.98	4.53	4.55	4.72	4.75	4.32	4.55	4.35	4.34	4.34
Money Supply (end of period)											
Primary liquidity[1]	13 599	13 924	14 803	16 236	13 616	14 044	13 643	16 236	14 734	15 962	15 037
Near money	18 009	18 718	19 173	20 719	18 778	19 271	19 692	20 719	21 411	22 345	22 528
Bank assets and liabilities (end of period)											
Cash position	4 743	4 843	4 924	5 566	4 442	4 680	4 548	5 566	5 170	5 773	5 577
Lending to non-banks	53 193	57 882	62 757	68 899	63 729	65 099	66 334	68 899	69 853	71 606	73 048
Mortgages	24 317	26 022	29 798	29 790	28 247	28 707	29 155	29 790	30 277	30 827	31 531
Loans to public sector	2 780	3 303	3 706	4 165	3 589	3 749	4 023	4 165	3 947	3 949	4 248
Other loans	21 521	23 572	26 335	29 126	26 806	27 290	27 859	29 126	29 741	30 819	31 687
Discount credits	4 575	4 985	4 918	5 819	5 087	5 353	5 299	5 819	5 888	6 011	5 582
Deposits from non-banks	44 625	47 919	51 357	55 998	52 199	53 221	54 552	55 998	58 606	60 732	62 288
Sight	14 496	14 908	15 099	16 285	15 129	15 424	15 907	16 285	17 591	18 370	18 551
Time	10 032	11 185	12 622	13 795	12 966	13 404	13 769	13 795	14 197	15 040	15 896
Savings and deposit accounts	20 097	21 826	23 636	25 918	24 104	24 393	24 876	25 918	26 818	27 322	27 841
Own bonds	16 065	18 095	19 215	22 007	19 953	20 697	21 459	22 007	22 891	23 535	24 116
Capital Market											
Total security issues	5 199	4 999	5 285	5 795	1 420	1 453	1 061	1 859	1 339	1 703	1 475
Foreign bonds	383	339	561	898	142	263	162	331	160	348	332
Domestic bonds	3 057	3 050	3 445	3 551	1 086	852	618	996	774	942	679
– public market issues	2 637	2 857	2 999	3 385	1 046	826	529	984	719	846	670
Government	794	1 036	1 417	1 464	486	315	206	457	135	527	65
Financial institutions[2]	1 052	887	893	1 178	326	318	221	312	234	227	274
Other private	791	934	698	743	234	193	102	215	350	92	331
Shares	1 760	1 610	1 279	1 345	194	338	281	532	405	412	464
– public market issues	568	282	258	322	13	138	6	165	84	183	83
Redemptions and conversion of public market issues	563	797	1 114	1 204	468	243	58	434	142	148	198

1 Notes, coins and sight deposits with the National Bank.
2 Including holding companies.
Source : Monthly Report of the Swiss National Bank.

Table G **Foreign Trade by Area**
Million US dollars

	1961	1962	1963	1964	1965	1966	1967			1968
							year	1st half	2nd half	1st half
				Exports f.o.b.						
OECD countries	1 444.8	1 604.5	1 757.0	1 989.1	2 224.1	2 432.0	2 619.9	1 265.2	1 354.7	1 390.6
EEC	836.0	918.7	1 010.4	1 058.9	1 161.5	1 228.0	1 259.5	614.4	645.1	681.0
EFTA	327.2	367.8	399.1	480.4	550.7	600.6	715.8	343.8	372.0	370.9
USA	189.6	211.6	223.6	243.0	288.8	355.2	364.8	175.6	189.2	194.1
Others[1]	92.0	106.4	123.9	206.8	223.1	248.2	279.8	131.4	148.4	144.6
Non OECD countries[2]	584.1	595.5	644.6	642.2	714.5	818.9	850.5	404.7	445.8	451.4
Eastern Europe and China Mainland	70.2	61.6	67.7	74.7	101.6	133.2	148.0	67.2	80.8	72.4
Other developed countries[3]	(74.9)	(82.7)	(94.5)	115.7	126.6	141.5	136.3	68.0	68.3	67.5
Developing countries	(439.0)	(451.2)	(482.4)	451.8	486.3	544.2	566.3	269.5	296.8	311.5
Total	2 028.9	2 200.0	2 401.6	2 632.0	2 939.3	3 251.1	3 471.1	1 670.4	1 800.7	1 842.7
				Imports c.i.f.						
OECD countries	2 354.2	2 653.5	2 857.3	3 197.9	3 272.3	3 464.0	3 595.3	1 793.8	1 801.5	1 874.4
EEC	1 684.6	1 893.8	2 070.3	2 225.1	2 280.6	2 363.1	2 437.5	1 214.5	1 223.0	1 262.3
EFTA	322.8	389.7	433.4	526.8	537.8	600.5	660.2	339.5	320.7	346.4
USA	277.4	293.6	278.9	313.3	312.2	354.4	343.9	167.3	176.6	189.8
Others[1]	69.4	76.4	74.7	132.7	141.7	146.0	153.7	72.5	81.2	75.9
Non OECD countries[2]	339.1	347.1	377.3	393.2	398.7	453.4	503.7	254.5	249.2	263.8
Eastern Europe and China Mainland	70.9	68.0	71.5	82.5	93.1	111.6	106.7	50.0	56.7	49.6
Other developed countries[3]	(35.0)	(21.7)	(43.9)	31.6	27.9	28.9	37.7	18.6	19.1	20.1
Developing countries	(233.2)	(257.4)	(261.9)	279.0	277.7	312.8	359.2	186.0	173.2	194.1
Total	2 693.3	3 000.6	3 234.6	3 591.3	3 671.3	3 917.6	4 099.2	2 048.5	2 050.7	2 138.4

1 Including Japan from 1964 onwards.
2 Including Japan up to 1963.
3 Australia, New Zealand, South Africa and Finland.
Source : OECD trade statistics, Series B.

Table H **Foreign Trade by Commodity Groups**
Million US dollars

	1961	1962	1963	1964	1965	1966	1967 year	1967 1st half	1967 2nd half	1968 1st half
				Exports f.o.b.						
0 Food and live animals	93.2	93.3	104.4	105.0	116.9	132.4	137.8	62.5	65.3	69.0
1 Beverages and tobacco	15.0	19.2	27.4	37.1	41.9	40.8	47.3	22.1	25.2	29.1
2 Crude materials, inedible, except fuels	38.9	42.2	53.8	60.1	67.7	74.0	75.8	35.0	40.8	50.2
3 Mineral fuels, lubricants, and related materials	0.8	1.1	1.4	2.9	3.8	3.8	4.8	2.4	2.4	2.8
4 Animal and vegetable oils and fats	2.3	2.0	2.3	2.4	3.1	3.6	3.8	1.7	2.1	1.9
5 Chemicals	386.8	416.1	465.8	526.3	585.0	650.0	703.0	357.9	345.1	399.2
6 Manufactured goods, classified chiefly by materials	364.1	383.1	415.1	458.8	516.6	564.6	581.8	288.1	293.7	310.0
7 Machinery and transport equipment	632.8	692.8	743.3	796.1	894.4	984.9	1 056.7	499.2	557.5	556.2
8 Miscellaneous manufactured articles	489.1	539.3	571.2	629.0	700.2	781.9	839.8	392.3	447.5	412.8
9 Commodities and transactions not classified according to kind	6.0	10.9	16.6	14.2	9.7	15.6	20.4	9.3	11.1	11.4
Total	2 028.9	2 200.0	2 401.7	2 632.0	2 939.3	3 251.6	3 471.1	1 670.4	1 800.7	1 842.7
				Imports c.i.f.						
0 Food and live animals	349.8	395.7	426.4	490.6	501.6	523.6	528.2	264.1	264.1	251.8
1 Beverages and tobacco	57.3	65.4	73.2	76.9	85.8	81.2	90.2	45.5	44.7	45.5
2 Crude materials, inedible, except fuels	239.9	235.0	245.1	265.6	252.1	261.9	261.9	136.0	125.9	127.4
3 Mineral fuels, lubricants and related materials	184.8	201.0	268.5	232.1	231.0	238.3	257.3	113.4	143.9	145.0
4 Animal and vegetable oils and fats	16.2	16.3	15.6	16.8	18.4	19.9	18.3	9.3	9.0	7.9
5 Chemicals	231.1	245.5	255.7	315.7	344.5	367.3	402.7	203.9	198.8	213.7
6 Manufactured goods, classified chiefly by materials	698.8	728.4	754.1	837.2	872.5	920.4	941.4	479.7	461.7	482.2
7 Machinery and transport equipment	638.1	799.6	823.8	905.7	884.1	979.1	1 002.7	511.7	491.0	564.8
8 Miscellaneous manufactured articles	266.5	304.3	357.2	429.1	449.5	500.6	567.3	270.9	296.4	288.4
9 Commodities and transactions not classified according to kind	10.9	9.5	15.2	21.5	31.9	25.1	29.2	14.0	15.2	11.7
Total	2 693.3	3 000.6	3 237.7	3 591.3	3 671.3	3 917.6	4 009.2	2 048.5	2 050.7	2 138.4

Source : OECD trade statistics, Series B.

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